

Illustration by **SIDDHANT JUMDE**

medical expenses specified in the policy document. Likewise, every health insurance policy has exclusions for which no coverage is available. It is in your interest to understand the policy's terms and conditions, and to know that not all medical expenses are covered.

Policy coverage is provided in two ways: cashless settlement and reimbursement. As the name suggests, cashless settlement occurs when the treatment is received at a hospital that is empanelled and approved by the insurer. Under this type of coverage, the insurer directly settles all hospital bills, and the policyholder does not incur any out-of-pocket costs/or pays a minimal deductible. A deductible is the minimum amount the policyholder must pay before the insurer begins paying under the policy. The deductible amount may vary by plan and individual needs.

Reimbursement occurs primarily when the policyholder receives treatment at a non-network hospital. In this case, the medical bills need to be paid by the policyholder and submitted to the insurer. The insurer, in turn, evaluates the claim before approving it and paying for the incurred treatment. This can delay payment to the policyholder compared with the cashless option. Today, most policyholders seek cashless treatment for the convenience and less financial stress it promises.

↘ TOP-UP AND SUPER-TOP

Typically, a basic health insurance plan may not be sufficient to cover complex medical expenses, and premiums may increase significantly if one opts for a high-value cover. One way to reduce costs is to add a top-up or super top-up plan to the base health insurance. Both of these are good options for covering an unexpected high medical bill. These plans increase the sum insured over your existing base policy to provide a financial cushion in case of frequent or high-value claims. Think of the pizza with toppings which can significantly enhance the taste; top-ups increase the scope of the health insurance cover.

Simply put, a top-up health insurance plan helps you when your medical bill exceeds a specified limit, known as the deductible. For example, if the base health insurance plan has a Rs 3 lakh cover, you should add a top-up policy with a Rs 3 lakh deductible. For all claims under Rs 3 lakh, the base health insurance will pay up to this limit. The top-up applies to claims ex-